

4-8 Appendix 2 Statement of Cash Flows for NetSolutions

The statement of cash flows that would accompany the NetSolutions' income statement, statement of stockholders' equity, and balance sheet is shown in [Exhibit 26](#).

Objective 9 - Prepare a statement of cash flows from a cash account.

Exhibit 26

Statement of Cash Flows for NetSolutions

NetSolutions Statement of Cash Flows For the Two Months Ended December 31, 20Y3			
Cash flows from (used in) operating activities:			
Cash received from customers.....	\$14,120		
Cash received from renting land.....	360	\$ 14,480	
Cash paid for expenses and to creditors.....		(12,515)	
Net cash flows used in operating activities.....			\$ 1,965
Cash flows from (used in) investing activities:			
Cash paid for purchase of land.....	\$20,000		
Cash paid for purchase of office equipment.....	900		
Net cash flows used in investing activities.....			(20,900)
Cash flows from (used in) financing activities:			
Cash received from issuing common stock.....	\$25,000		
Cash dividends paid.....	(4,000)		
Net cash flows from financing activities.....			21,000
Net increase in cash.....			\$ 2,065
Cash balance, November 1, 20Y3.....			0
Cash balance, December 31, 20Y3.....			<u>\$ 2,065</u>

The cash balance on December 31, 20Y3, of \$2,065 is also reported on the December 31, 20Y3, balance sheet shown in [Exhibit 2](#).

The statement of cash flows shown in [Exhibit 26](#) was prepared by classifying the November and December cash transactions of NetSolutions into operating, investing, or financing activities as follows:

Classifying Cash Transactions

Type of Activity	Transaction	Cash				Transaction	Type of Activity
Financing	Issued common stock	Nov. 1	25,000				
				Nov. 5	20,000	Purchased land	Investing
Operating	Received cash from customers	18	7,500	30	3,650	Paid expenses	Operating
				30	950	Paid accounts payable	Operating
				30	<u>2,000</u>	Paid dividends	Financing
		Nov. 30 Bal.	<u>5,900</u>				
Operating	Received rent from land	Dec. 1	360	Dec. 1	2,400	Paid insurance premiums (expense)	Operating
				1	800	Paid office rent (expense)	Operating
				6	180	Paid miscellaneous expenses	Operating
				11	400	Paid accounts payable (expense)	Operating
				13	950	Paid wages (expense)	Operating
Operating	Received cash from customers	16	3,100				
				20	900	Paid account payable (office equip.)	Investing
Operating	Received cash from customers	21	650				
				23	1,450	Purchased supplies (expense)	Operating
				27	1,200	Paid wages (expense)	Operating
Operating	Received cash from customers	31	2,870	31	310	Paid utilities (expense)	Operating
				31	225	Paid utilities (expense)	Operating
				31	<u>2,000</u>	Paid dividends	Financing
		Dec. 31 Bal.	<u>2,065</u>				

Chapter 4: The Accounting Cycle: 4-8 Appendix 2 Statement of Cash Flows for NetSolutions

Book Title: Financial and Managerial Accounting

Printed By: Raydel Castro Guerra (raydel.castro001@mymdc.net)

© 2023 Cengage Learning, Cengage Learning

© 2026 Cengage Learning Inc. All rights reserved. No part of this work may be reproduced or used in any form or by any means - graphic, electronic, or mechanical, or in any other manner - without the written permission of the copyright holder.